124 Richmond Street 'MESSY' Underwritting Test

Sensitized

ASSET CLASS	**Multifamily - 12 Units**
DOCUMENTS	10 uploaded files
REPORT TIER	**Full Underwriting**

Executive Summary

Deal overview, operating profile, and primary risk drivers

12-Unit Multifamily

CAPITAL RISK PROFILE

Sensitized

Primary Pressure Point: NOI Margin (35.5%)

KEY METRICS SNAPSHOT

UNITS

12

OCCUPANCY

100.0%

ANNUAL IN-PLACE RENT

$186,780

EFFECTIVE GROSS INCOME

$187,172

OPERATING EXPENSES

$120,790

NET OPERATING INCOME

$66,382

EXPENSE RATIO

64.5% (Sensitized)

NOI MARGIN

35.5% (Sensitized)

BREAK-EVEN OCCUPANCY

64.5% (Stable)

KEY UPSIDE DRIVERS

- In-place rents trail market by ~17.4% (observed rent gap).
- Occupancy is 100.0%, reflecting fully stabilized in-place tenancy.
- Operating cushion of 35.5% above break-even occupancy based on in-place performance.

PRIMARY CONSTRAINTS

- Expense ratio is 64.5%, pressuring NOI margin.
- NOI margin is 35.5%, leaving limited buffer for shocks.
- Debt terms were partially identified, but no debt sizing balance was provided; DSCR and current-debt service are not assessed.

CAPITAL RISK PROFILE: **SENSITIZED**

Expense Ratio	**64.5%**
NOI Margin	**35.5%**
Break-Even Occupancy	**64.5%**

Operating profile classification based on standardized underwriting thresholds from uploaded documents only.

Uploaded Files

This section lists the files uploaded and associated with this report.

- !Rent_Roll_124_Richmond_St_London_ON_MESSY.xlsx - 4/30/2026, 11:18:33 PM
- !T12_124_Richmond_St_London_ON_MESSY.xlsx - 4/30/2026, 11:18:33 PM
- CapEx_Schedule_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM
- MESSY_debt-terms_Richmond124_FINAL_v3.pdf - 4/30/2026, 11:18:33 PM
- Offering_Summary_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM
- Property_Tax_Bill_2025_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM
- UNSUPPORTED_Appraisal_Summary_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM
- UNSUPPORTED_Market_Rent_Survey_Excerpt_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM
- UNSUPPORTED_Phase_I_ESA_Summary_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM
- UNSUPPORTED_Zoning_Letter_124_Richmond_Test.pdf - 4/30/2026, 11:18:33 PM

Uploaded Renovation / CapEx Document: Uploaded renovation/CapEx source file acknowledged: CapEx_Schedule_124_Richmond_Test.pdf. Structured CapEx modeling was not produced because the file was not converted into verified structured renovation inputs. No CapEx amount, renovation scope, rent lift, ROI, or payback calculation has been modeled from that document. Renovation-related figures are excluded from quantitative outputs unless separately shown as structured document-derived inputs.

Unit-Level Value Add Analysis

Rent lift, renovation potential, and implied value sensitivity

UNIT MIX AND RENT LIFT

UNIT TYPE	COUNT	AVG SQ FT	AVG IN-PLACE RENT	TARGET RENT (POST-RENO)	MONTHLY LIFT
1 Bed	6	613	$1,173	$1,395	$222
2 Bed	6	823	$1,422	$1,650	$228

CAP RATE VALUE INDICATION

CAP RATE	IMPLIED VALUE	PER UNIT
5.0%	$1,327,640	$110,637
6.0%	$1,106,367	$92,197
7.0%	$948,314	$79,026

Derived from reported NOI of $66,382. Cap rates are standardized framework benchmarks, not document-sourced.

RENT UPSIDE PATHWAY: MARK-TO-MARKET ANALYSIS

Annual In-Place Rent	$186,780
Annual Market Rent	$219,240
Annual Gross Rent Upside	**$32,460**

IMPLIED VALUE SENSITIVITY AT STABILIZATION.

5.0% cap rate	**$649,200**
6.0% cap rate	**$541,000**
7.0% cap rate	**$463,714**

Implied value sensitivity reflects annual rent gap capitalized at the stated cap rate and remains conditional on market-rent capture and occupancy.

Operating Statement (Trailing Twelve Months)

Operating summary based on uploaded financials

INCOME RECONSTRUCTION (TTM)

INCOME LINE ITEM	TTM AMOUNT
Gross Rental Income	$184,920
Laundry Income	$3,240
Parking Income	$4,800
Vacancy Allowance	$-5,788

OPERATING EXPENSES (TTM)

EXPENSE LINE ITEM	TTM AMOUNT
Property Taxes	$38,400
Insurance	$9,850
Repairs & Maintenance	$22,640
Landscaping & Snow Removal	$8,300
Utilities	$27,950
Property Management	$6,000
Administrative	$3,200
Garbage & Miscellaneous	$4,450

NET OPERATING INCOME SUMMARY

METRIC	VALUE
Effective Gross Income (TTM)	**$187,172**
Total Operating Expenses (TTM)	**$120,790**
Net Operating Income (TTM)	**$66,382**
Operating Expense Ratio	**64.5%**
EGI per Unit (TTM)	$15,598
OpEx per Unit (TTM)	$10,066
NOI per Unit (TTM)	$5,532

Operating Profile

Occupancy, rent level, and operating summary

TOP INCOME DRIVERS (SHARE OF EGI)

LINE ITEM	AMOUNT
Gross Rental Income	$184,920 (98.8%)
Parking Income	$4,800 (2.6%)
Laundry Income	$3,240 (1.7%)

TOP EXPENSE DRIVERS (SHARE OF OPEX)

LINE ITEM	AMOUNT
Property Taxes	$38,400 (31.8%)
Utilities	$27,950 (23.1%)
Repairs & Maintenance	$22,640 (18.7%)

TOP INCOME LINE CONCENTRATION

98.8%.

- Top income line concentration is 98.8% of EGI (concentration flag).
- Largest operating expense line item is Property Taxes at 31.8% of OpEx (concentration flag).
- In-place rents trail market by approximately 17.4% (observed rent gap).

Expense Structure Analysis

Expense ratio, drivers, and intensity flags

METRIC	VALUE
Operating Expense Ratio	64.5%
Operating Expense per Unit	$10,066
NOI per Unit	$5,532

EXPENSE FLAGS (DETERMINISTIC)

- Operating expense ratio is sensitized (>= 55%) and elevated (> 60%).
- Top expense line exceeds 30% of OpEx (concentration risk).

TOP 3 EXPENSE DRIVERS

1. Property Taxes: 31.8%
2. Utilities: 23.1%
3. Repairs & Maintenance: 18.7%

EXPENSE RATIO SENSITIVITY

EXPENSE RATIO	IMPLIED OPEX	IMPLIED NOI
50%	$93,586	$93,586
55%	$102,945	$84,227
60%	$112,303	$74,869
65%	$121,662	$65,510
70%	$131,020	$56,152

Anchored to reported EGI of $187,172. Standardized threshold scenarios.

EXPENSE COMPOSITION (% OF TOTAL OPEX)

Property Taxes	**31.8%**	$38,400
Utilities	**23.1%**	$27,950
Repairs & Maintenance	**18.7%**	$22,640
Insurance	**8.2%**	$9,850
Landscaping & Snow Removal	**6.9%**	$8,300
Property Management	**5.0%**	$6,000
Garbage & Miscellaneous	**3.7%**	$4,450
Administrative	**2.6%**	$3,200

NOI Stability Review

Margin, volatility, and income resilience

INDICATOR	VALUE
NOI Margin	35.5%
Expense Sensitivity	35.5%
Break-even Occupancy	64.5%
Rent Roll vs T12 GPR Variance	1.0%

STABILITY DRIVERS (WORST 3)

1. NOI Margin 35.5%
2. Expense Ratio 64.5%
3. Rent Roll vs T12 GPR 1.0%

NOI SENSITIVITY (DETERMINISTIC)

SCENARIO	IMPLIED NOI	NOI MARGIN (IMPLIED)
Expenses +5% (cost shock)	$60,343	32.2%
Income -5% (revenue shock)	$57,023	32.1%
Combined Shock (-5% income, +5% expenses)	$50,984	28.7%

VACANCY BUFFER

METRIC	VALUE
Break-even Occupancy	64.5%
Current Occupancy	100.0%
Occupancy Cushion	35.5 pts
Units That Can Become Vacant	4 of 12

At current occupancy, the property can absorb 4 vacant units before reaching neutral cash flow. Break-even derived from reported T12 totals.

BREAK-EVEN OCCUPANCY BUFFER

Break-even: 64.5% **Current occupancy: 100.0%**

Buffer: 35.5 percentage points - Strong cushion

Rent Roll Distribution

Occupancy, rent dispersion, and unit mix profile

METRIC	VALUE
Total Units	12
Occupied Units	12
Occupancy	100.0%
Weighted Avg In-Place Rent	$1,297
Weighted Avg Market Rent	$1,523
Market Rent Premium (Avg)	17.4%
Annual In-Place Rent (Total)	$186,780
Annual Market Rent (Total)	$219,240

RENT BANDS (IN-PLACE)

UNIT TYPE	UNITS	AVG IN-PLACE	AVG MARKET	GAP ($)	GAP (%)
1 Bed	6	$1,173	$1,395	$222	19.0%
2 Bed	6	$1,422	$1,650	$228	16.1%

Data Coverage & Underwriting Gaps

Missing inputs and omitted sections

CORE INPUT COVERAGE CONFIRMED: T12 and Rent Roll Verified.

Structured T12, rent roll, and debt inputs are used where available. Unsupported or unstructured uploads remain excluded from modeled outputs. Missing structured debt sizing prevents DSCR and current-debt assessment.

DATASET	FIELDS PRESENT	COVERAGE	MISSING
T12 Operating Statement	4/4	**100.0%**	None
Rent Roll	4/4	**100.0%**	None

Uploaded files are listed separately; only structured inputs are used quantitatively.

Scenario Analysis & Five-Year Outlook

Cash flow projections and return sensitivities

SCENARIO INPUTS

YEAR	CONSERVATIVE (2% GROWTH)	BASE (3% GROWTH)	OPTIMISTIC (4% GROWTH)
Year 1	$67,710	$68,373	$69,037
Year 2	$69,064	$70,425	$71,799
Year 3	$70,445	$72,537	$74,671
Year 4	$71,854	$74,714	$77,658
Year 5	$73,291	$76,955	$80,764
Year 5 Exit Value	**$1,172,657**	**$1,231,279**	**$1,292,222**

Basis: T12 NOI = $66,382 | Exit cap: 6.25% (document derived). Scenario outputs are deterministic from document-backed inputs.

YEAR 5 EXIT VALUE: CAP RATE SENSITIVITY

EXIT CAP RATE	CONSERVATIVE	BASE	OPTIMISTIC
4.5%	$1,628,691	$1,710,110	$1,794,752
5.0%	$1,465,822	$1,539,099	$1,615,277
5.5%	$1,332,565	$1,399,181	$1,468,434
6.0%	$1,221,518	$1,282,582	$1,346,064
6.25% (document derived)	**$1,172,657**	**$1,231,279**	**$1,292,222**
6.5%	$1,127,555	$1,183,922	$1,242,521

DATA NOT AVAILABLE (not present in uploaded documents). Metrics that depend on missing source inputs are shown as unavailable.

Deal Scorecard & Radar

InvestorIQ deal score components

FACTOR-LEVEL SCORES

Review

Composite Score: 70 / 100

FACTOR	VALUE	THRESHOLD	SCORE
Expense Ratio	64.5%	55-65%	**6/10**
NOI Margin	35.5%	35-45%	**6/10**
Occupancy Rate	100.0%	Above 95%	**10/10**
Break-Even Occupancy	64.5%	Below 70%	**10/10**
Rent-to-Market Gap	17.4%	>15% upside	**10/10**
DSCR (Not Assessed)	DATA NOT AVAILABLE	Debt sizing balance not provided	**0/10**
Composite Score (normalized)			**70/100**

Scored from reported metrics only. Within Underwriting Parameters ≥ 70 | Review 50-69 | Outside Parameters < 50. DSCR not assessed caps the verdict at Review.

RISK REGISTER: DETERMINISTIC SIGNAL SUMMARY

RISK FACTOR	CURRENT READING	THRESHOLD	FLAG
Expense Ratio	64.5%	CLEAR < 55% | WATCH 55-65% | ELEVATED > 65%	WATCH
NOI Margin	35.5%	STRONG > 45% | WATCH 35-45% | LOW < 35%	WATCH
Occupancy Rate	100.0%	CLEAR > 95% | WATCH 85-95% | LOW < 85%	CLEAR
Break-Even Occupancy	64.5%	CLEAR < 70% | WATCH 70-80% | ELEVATED > 80%	CLEAR
Rent-to-Market Gap	17.4% below market	> 15% = meaningful upside | 5-15% = moderate | < 5% = minimal	UPSIDE
DSCR	Debt sizing balance not provided	Debt terms were partially identified; DSCR and current-debt service are not assessed	NOT ASSESSED

Signals are derived deterministically from document-backed inputs and framework-constrained calculations. Missing inputs are not inferred.

— TEST DOCUMENT — TEST DOCUMENT — Document doesn't look right? We'll help you out! — TEST DOCUMENT — TEST DOCUMENT — TEST DOCUMENT — Do

Discounted Cash Flow (DCF)

Cap rate expansion, exit sensitivity, and downside valuation pressure

YEAR	NOI	EXIT VALUE	TOTAL CASH FLOW	PV FACTOR	PRESENT VALUE
Year 1	$68,373	–	$68,373	0.9259	$63,309
Year 2	$70,425	–	$70,425	0.8573	$60,378
Year 3	$72,537	–	$72,537	0.7938	$57,583
Year 4	$74,714	–	$74,714	0.7350	$54,917
Year 5	$76,955	$1,231,279	$1,308,234	0.6806	$890,362
				Estimated Intrinsic Value (Sum of PVs)	**$1,126,548**

Basis: T12 NOI = $66,382 | Annual NOI growth: 3.0% (stated) | Discount rate: 8.0% (stated) | Exit cap: 6.25% (document derived)

INTRINSIC VALUE: EXIT CAP RATE SENSITIVITY

EXIT CAP RATE	YEAR 5 EXIT VALUE	IMPLIED INTRINSIC VALUE	VS. BASE
4.5%	$1,710,110	$1,452,432	28.9%
5.0%	$1,539,099	$1,336,045	18.6%
5.5%	$1,399,181	$1,240,819	10.1%
6.0%	$1,282,582	$1,161,464	3.1%
6.25% (document derived)	**$1,231,279**	**$1,126,548**	–
6.5%	$1,183,922	$1,094,317	−2.9%

Methodology & Data Transparency

Assumptions, methodology notes, and data limitations

InvestorIQ does not assume or gap-fill missing data. Outputs are primarily attributable to uploaded documents and defined modeling frameworks, with transparency and auditability as core design principles.

Assumptions in this memorandum are permitted only when anchored to uploaded documents or standardized underwriting frameworks. InvestorIQ does not invent missing data or fabricate market inputs.

12.1 InvestorIQ Estimates

InvestorIQ estimates are document-backed and framework-constrained, using uploaded documents and standardized underwriting frameworks. When required inputs are missing, those estimates are omitted rather than inferred.

12.2 Methodology Notes

Metrics and tables reflect document-backed inputs, deterministic calculations, and framework-constrained outputs. Missing source data is not gap-filled.

12.3 Data Limitations & Missing Inputs

This memorandum is limited to the documents provided and the fields that could be verified. Missing values are disclosed and excluded from analysis.